

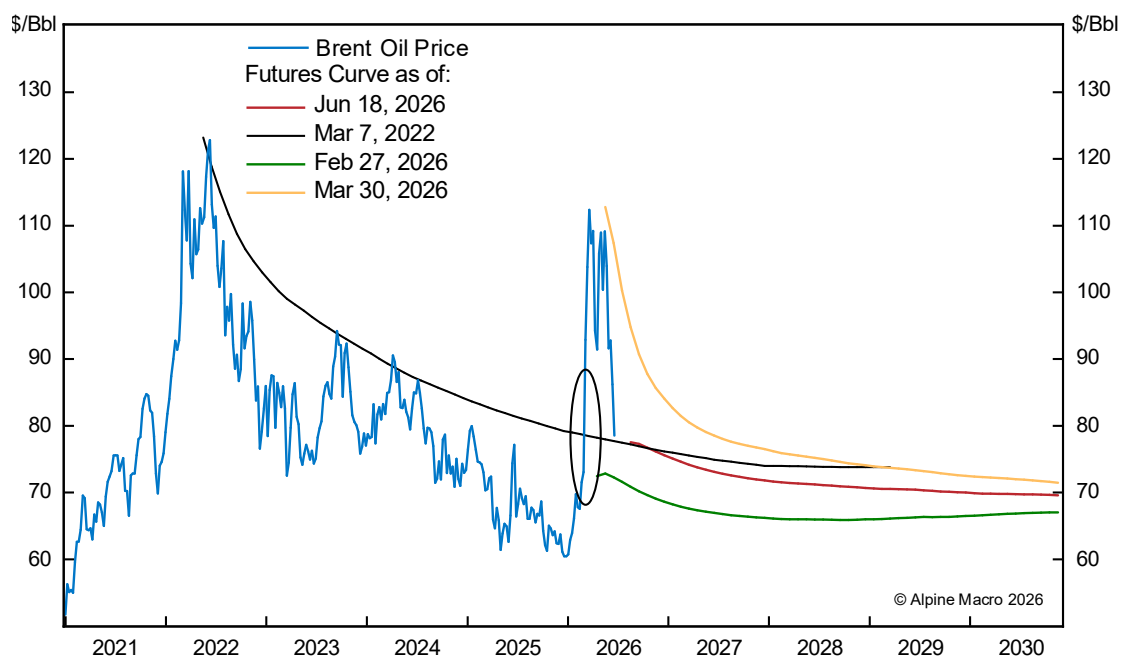
Oil: Hanging By A Thread – Special Report

- Brent crude is hanging by a thread around levels last touched when prices gapped higher in the early stages of the U.S.–Iran War, and well above the \$65–70/barrel resting spot for long-term crude futures ([Chart 1](#)).
- We expect an overshoot to the downside. Still, there is legitimate uncertainty over dynamics related to inventory restocking, damaged energy infrastructure and geopolitical risk.
- The main risk of an outright oil price rebound relates to U.S. outrage among Senate Republicans over the one-sided deal agreed by President Trump.
- Crude-vulnerable equities should continue to outperform.

Not surprisingly, there has been a one-way decline in oil prices over the past week as the U.S. and Iran moved towards a cessation of hostilities. However, the oil market has not traded well for much longer than that, despite the “closure” of the Strait of Hormuz (SoH), albeit with sizable leakage ([Chart 2](#)). Both near- and long-dated crude futures have formed double tops; energy stock relative performance peaked 12 weeks ago; and crude-vulnerable equity sectors troughed versus the broad market 18 weeks ago.

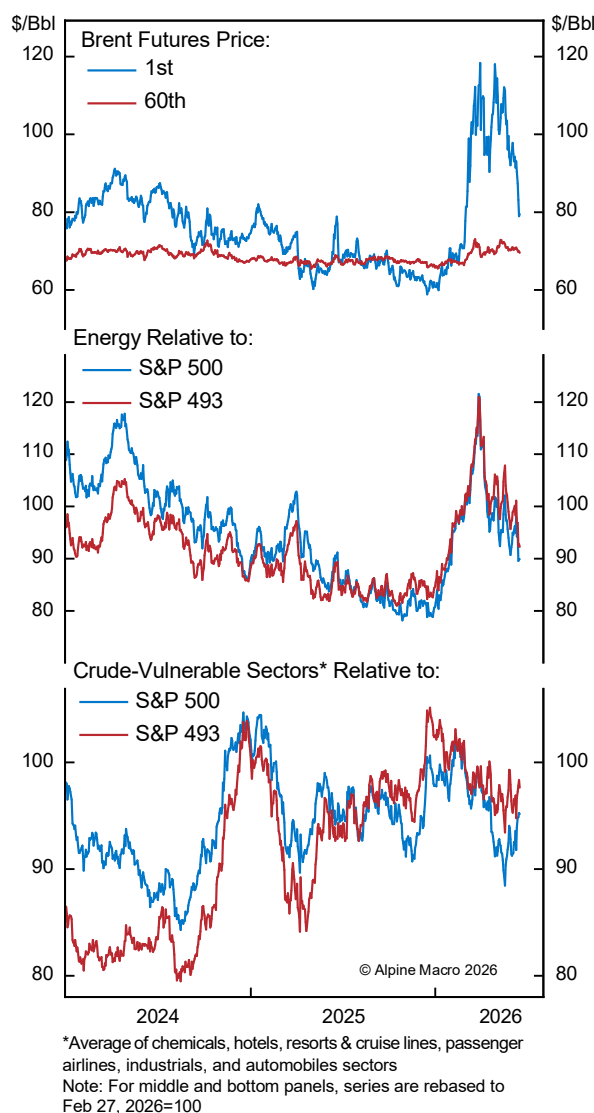
All of this fits with the high-conviction oil-bearish roadmap laid out in our April [16th](#) and [20th](#) reports. The main uncertainty relates to whether this will be merely mean-reversion back to pre-war prices, or an overshoot to the downside. We favor the latter scenario.

Chart 1: Will Oil “Fill The Gap” Created At The Beginning Of The War?



Source: Alpine Macro, Bloomberg Finance L.P.

Chart 2: Oil And Related Assets Have Been Trading Poorly The Past Few Months



Source: Alpine Macro

Ironically, the main oil upside risk that would make both these scenarios wrong relates to a U.S. domestic political backlash against the one-sided nature of the U.S.-Iran Memorandum of Understanding (MOU). Aggressive U.S. military action likely would be necessary for Iran to back away from the MOU, as discussed in the June 18th, 2026 [Geopolitical Strategy Report](#). This *Special Report* ignores this outcome, although it should not be ruled out.

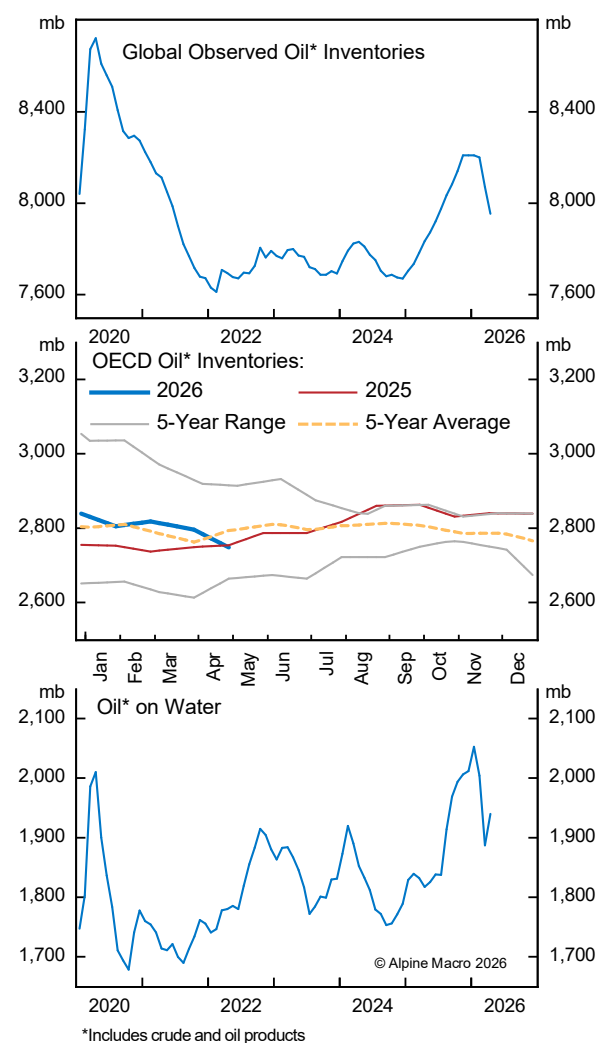
Oil Theory Vs Reality

In theory, crude markets could be driven by depleted inventories that need to be rebuilt, damaged infrastructure, and the risk that the ceasefire falls apart. In reality, lessons from history warn that oil

prices can drop much faster than would be expected on stock/flow, infrastructure timeline and risk premium criteria. More specifically:

- **Inventory restocking:** [Chart 3](#) shows that both global and the narrower developed country OECD inventory measures have fallen steadily at a seasonal time when they are usually being rebuilt. Some degree of restocking is inevitable. However, the OECD measure is not much below its 5-year moving average and panicky accumulation usually only occurs when a war is imminent or ongoing, not when it is ending or “on hold”. Moreover, U.S. crude and refined product inventories were at seasonally-high levels when the war began. Meanwhile, there is a significant stock of “oil on water”, including tankers in the SoH, that will be moved to satisfy consumption and help rebuild storage (panel 3).

Chart 3: Will Oil Inventory Restocking Put A Floor Under Prices?



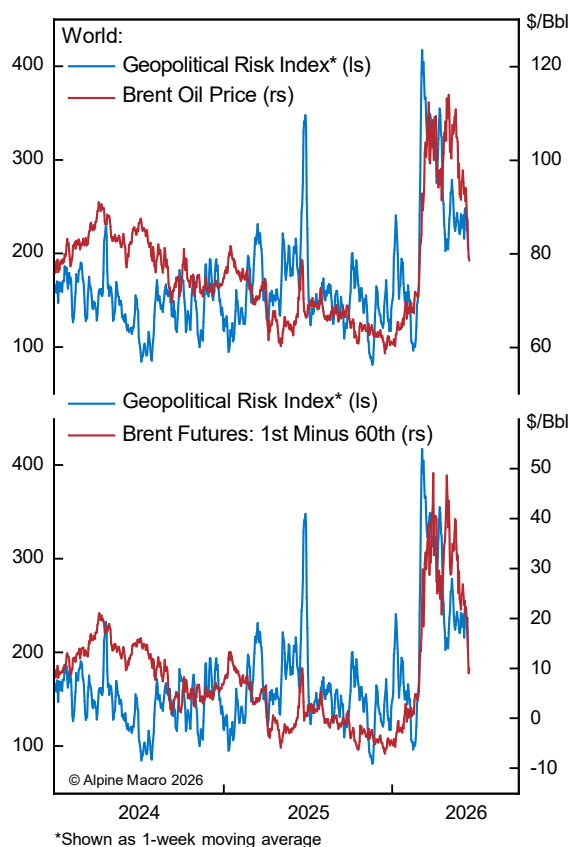
Source: Alpine Macro, IEA

Table 1: Gas Has Been Hit Harder Than Oil Infrastructure

Country	Disruption Category	Facility	Asset Type	Repair Intensity	Repair Time
	Major	Ras Laffan	LNG + Refinery	●●●●●	■■■■■
	Major	South Pars (cluster)	Offshore gas field	●●●●●	■■■■■
	Major	Bahrain Sitra Refinery	Refinery	●●●●●	■■■■■
	Moderate	Pearl GTL	Downstream facility	●●●●●	■■■■■
	Moderate	Tehran Refinery	Refinery	●●●●●	■■■■■
	Moderate	Shah gas	Onshore gas field	●●●●●	■■■■■
	Moderate	Shahran Oil Depot	Downstream facility	●●●●●	■■■■■
	Moderate	Shahid Dolati Oil Depot	Downstream facility	●●●●●	■■■■■
	Moderate	Shah-e Rey Oil Depot	Downstream facility	●●●●●	■■■■■
	Moderate	Lanaz Refinery	Refinery	●●●●●	■■■■■
	Moderate	Ruwais Refinery	Refinery	●●●●●	■■■■■
	Minor	Bab & Habshan	Producing field, gas processing	●●●●●	■■■■■
	Minor	Haifa refinery	Refinery	●●●●●	■■■■■
	Minor	Other infrastructure	Multiple	●●●●●	■■■■■

Disruption* Category: ● Major ● Moderate ● Minor

Source: Alpine Macro, Rystad Energy

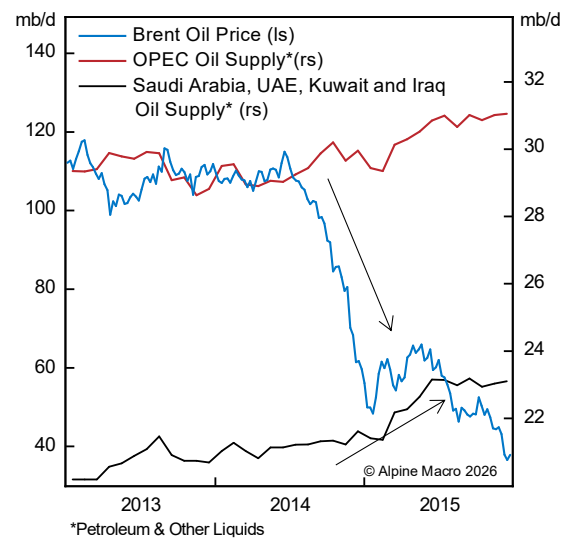
Chart 4: Will The Geopolitical Oil Risk Premium Mean Revert?


Source: Alpine Macro

- **Infrastructure rebuilding:** Some Persian Gulf energy infrastructure will take years to rebuild. Still, the initial supply loss driven by precautionary shut-ins, logistics disruptions, and export

bottlenecks can be reversed relatively quickly. In addition, the two facilities most heavily impacted by the war relate to liquefied natural gas (LNG) rather than oil (Table 1). Even in this case, there is [plenty of LNG infrastructure slated to open between 2026 and 2030](#). Moreover, the lesson from the September 2019 Houthi drone attack on two major Saudi installations in Abqaiq-Khuraib was that repair can take place faster than expected.

- **Geopolitical risk premium:** It is possible that oil prices will still require a premium for the renewed threat of war over and above supply/demand fundamentals. Chart 4 shows that the geopolitical risk index still has not yet fallen back into its pre-war range. Still, historical precedents warn that these premia can swing violently from fear to complacency unless there is an imminent threat of war.

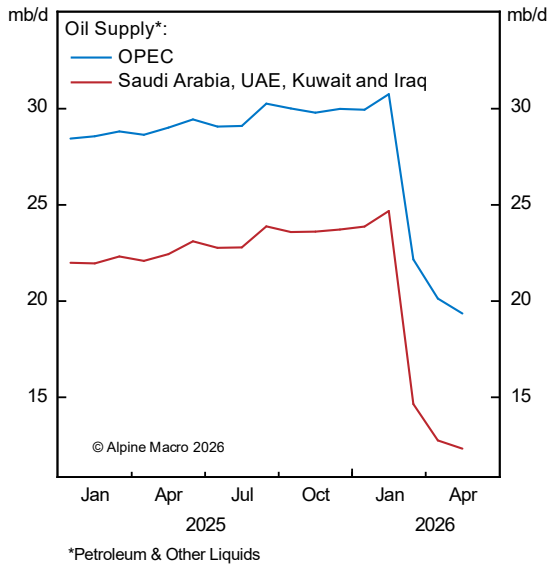
Chart 5: Gulf Countries Kept Pumping Even As Prices Collapsed In 2014


Source: Alpine Macro, EIA

- **Supply response:** The lesson from the 2014 oil plunge is that prices can overshoot to the downside when OPEC policy shifts away from defining a floor for prices (Chart 5). This time around, the Gulf countries have an incentive to ramp up production to finance rebuilding and to “punish” Iran via lower oil prices. UAE is the clearest example, since they left the cartel on May 1st. More generally, we expect Gulf production and exports to snap back as quickly as possible even as prices decline (Chart 6). Meanwhile, non-OPEC production is in a well-established uptrend (Chart 7); and the U.S. oil rig count and energy investment

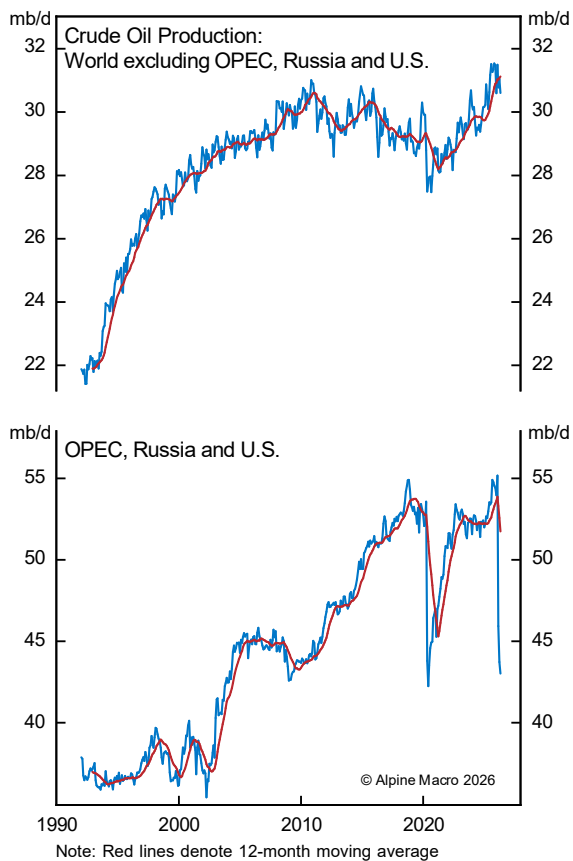
have stopped falling (Chart 8). Production in the largest U.S. field, the Permian, is not yet contracting, and has a breakeven price for new wells of \$70/barrel (Chart 9).

Chart 6: Will Gulf Countries Keep Pumping Again Even As Prices Decline?



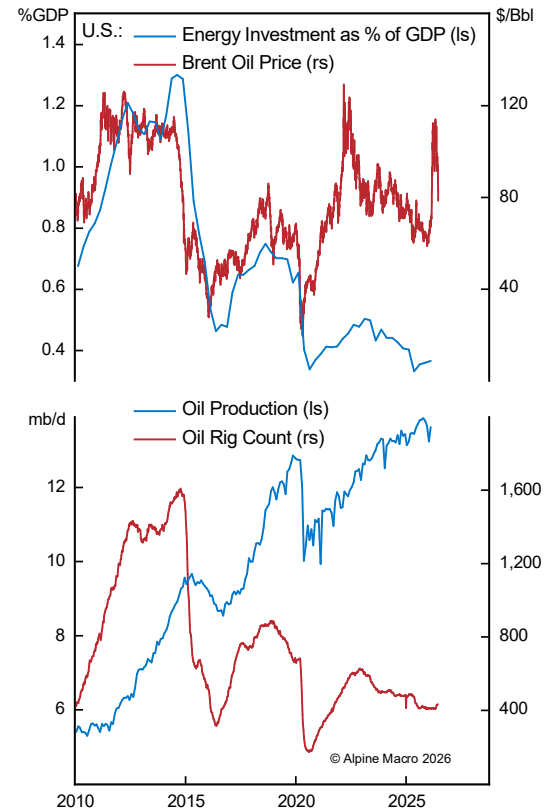
Source: Alpine Macro, EIA

Chart 7: Crude Production Headed Higher Both Within and Outside OPEC



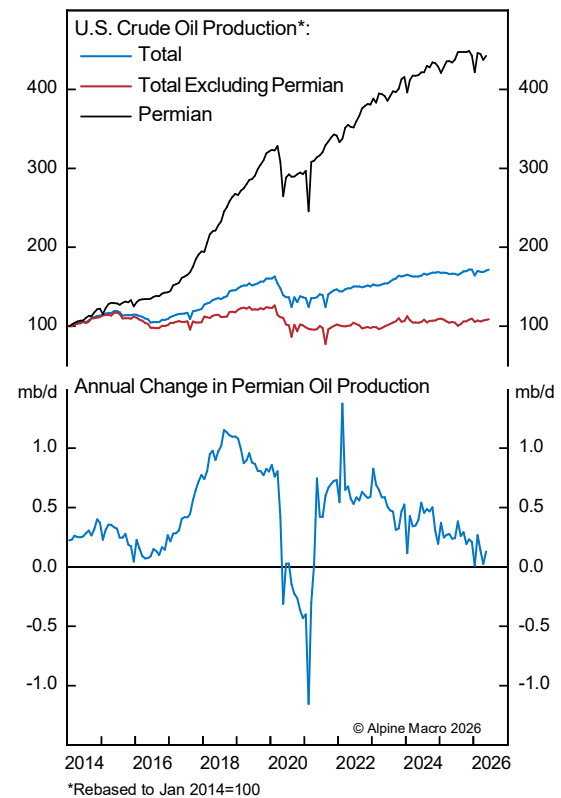
Source: Alpine Macro, EIA

Chart 8: U.S. Rig Count And Energy Investment Have Stopped Falling



Source: Alpine Macro, Baker Hughes, EIA

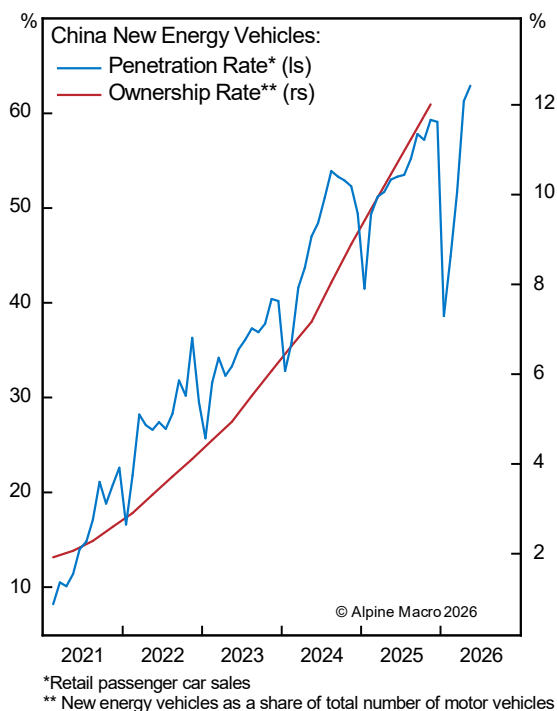
Chart 9: Permian Production Not Yet Contracting



Source: Alpine Macro, EIA

- **Demand destruction:** The hit to global oil demand could be as large as 2 million b/d. Demand destruction will be mitigated, even at current prices, but there is a clear increase in EV market share in China, which increasingly impacting the stock as well as the flow of vehicles on the road ([Chart 10](#)).

Chart 10: Surging Chinese EV Share: Both Stock And Flow



Source: Alpine Macro, China Passenger Car Association (CPCA), China Ministry of Public Security (MPS)

Finally, the domestic U.S. political calendar will be a factor. President Trump has both eyes on the price of gasoline and, indirectly, mortgage rates and inflation expectations, all of which correlate with the price of crude ([Chart 11](#)). The shakiness of the 60-day timeline for the U.S.-Iran MOU will be mitigated by November midterms, given that the war was highly unpopular with the electorate.

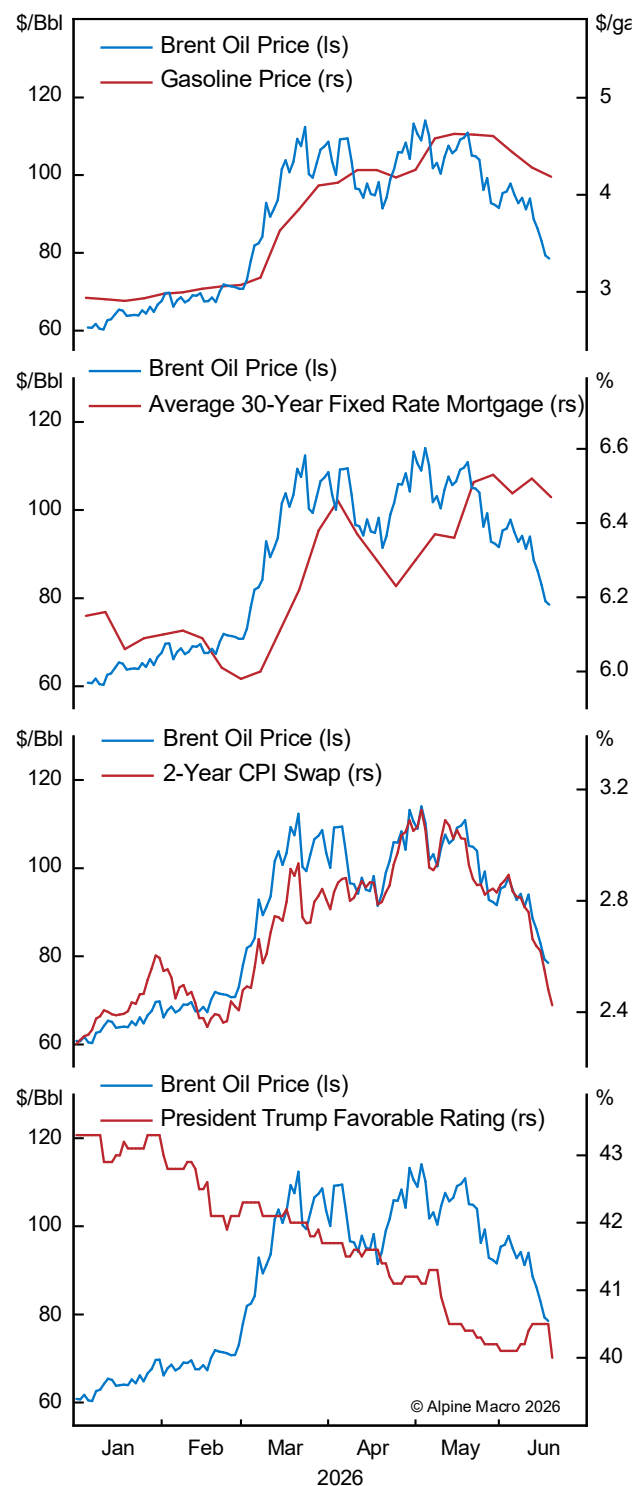
Restoration of supply “back to normal” will take a few months, but crude markets may well front run these developments. That was the case in the 1990/91 Gulf War when oil prices mean-reverted well before production rebounded in Iraq and Kuwait.

Granted, the oil bear case is becoming more obvious. The June IEA report moved their post-war supply restoration timeline more in line with our baseline scenario. The *Financial Times Lex Column* has written

on June 17th that “[the oil shortage is ending](#)”. Still, any sign that the OPEC cartel will not protect the floor will lead to a downside price discovery exercise that could look like an “air pocket” for a time.

Bottom line: Oil price risks remain to the downside.

Chart 11: Political Incentive To Get Oil Prices As Low As Possible



Source: Alpine Macro, Bloomberg Finance L.P., RCP

Strategy

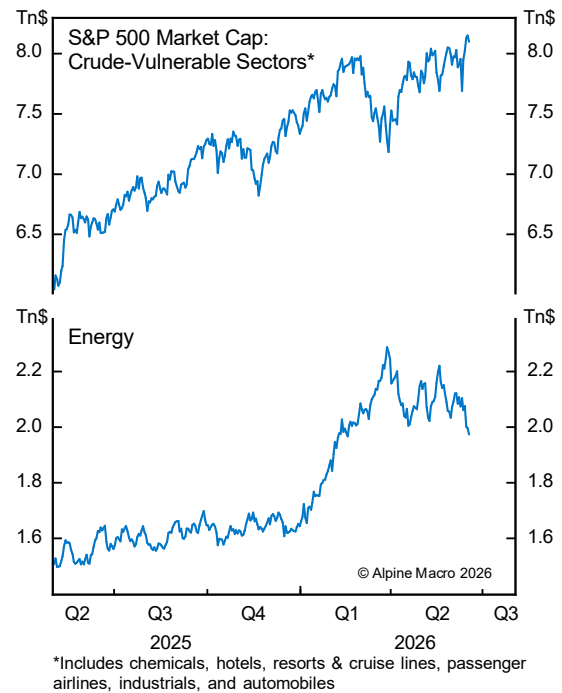
Crude-vulnerable equity sectors remain attractive in absolute terms and *vis-à-vis* the broad market, while the energy sector should continue to lag, as discussed in our May 14th *Special Report* entitled “[Inflation Scare and the K-Shaped Consumer](#)” ([Chart 12](#)). Winners from lower oil prices, such as chemicals, industrials, materials, autos, airlines, hotels and cruise lines are in varying stages of outperformance. The common thread is well-defined bottoms and/or uptrends versus both the S&P 500 and S&P 493 ([Chart 13](#) and [Chart 14](#)).

Bottom line: Crude-vulnerable sectors should continue to outperform the broad market in the coming months.

David Abramson

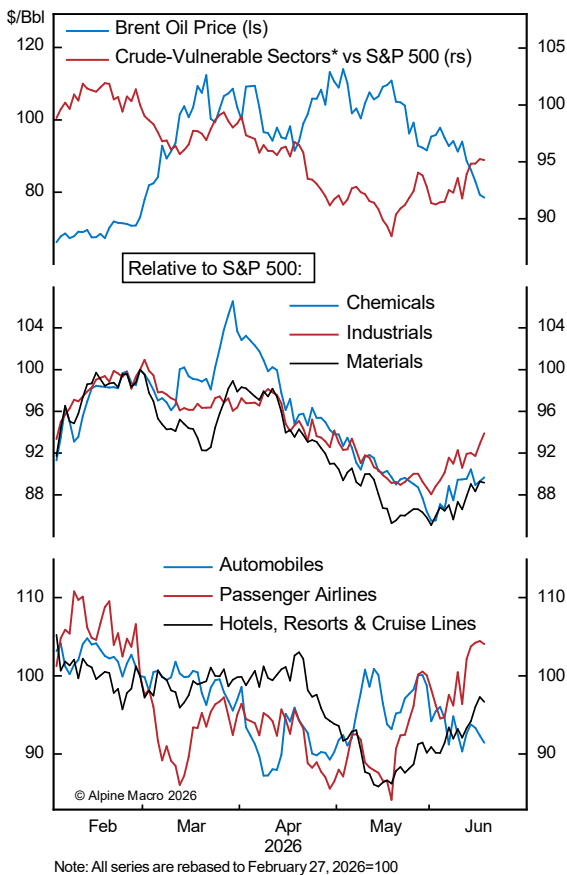
Chief U.S. Strategist & Director of Research

Chart 12: These Trends Should Persist



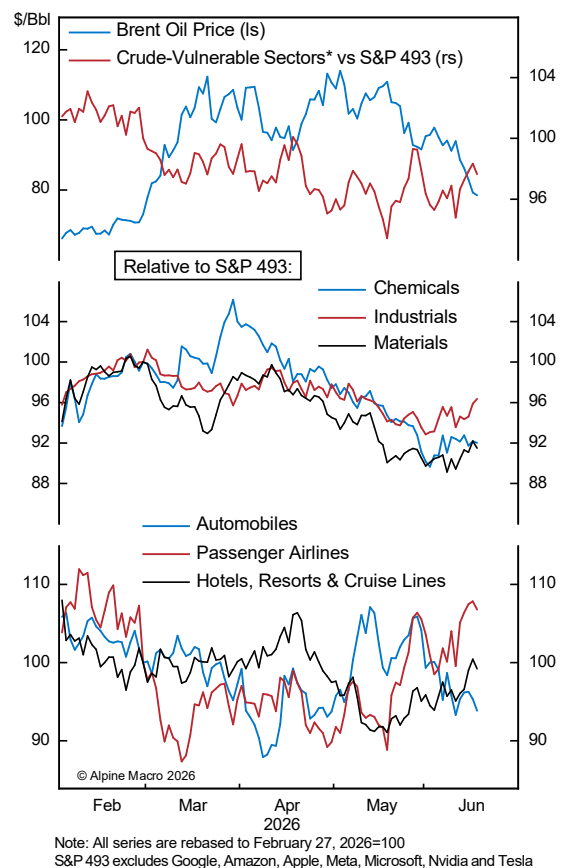
Source: Alpine Macro

Chart 13: Crude-Vulnerable Sector Outperformance Versus S&P 500



Source: Alpine Macro

Chart 14: Crude-Vulnerable Sector Outperformance Versus S&P 493



Source: Alpine Macro

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